

# GLOBAL INVESTMENT SOCIETY — FULL ASSUMPTIONS GUIDE

**lululemon athletica inc. (NASDAQ: LULU) | Every red assumption on every tab | FY2025A reported; FY2026E–FY2030E projected**

**Convention:** Blue = reported (10-K / earnings). Red = analyst assumption. Black = formulas. This PDF mirrors columns *Justification*, *Source*, and *Ctrl+F* on each workbook tab. Click source links to open the filing or data page.

**DCF workbook tabs:** WACC → Scenarios → Revenue Drivers → DCF → Comps

**3-statement workbook tabs:** Assumptions → Income Statement → Balance Sheet → Cash Flow

## WACC

DCF workbook — WACC tab

| Assumption                                                          | Justification (~20 words)                                                                                                                                              | Source (click)                                                           | Ctrl+F / proof                                                                                                                      |
|---------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| <b>Risk-free rate (10-yr UST)</b>                                   | 4.8% risk-free = FRED DGS10 on 2026-09-03 (4.77%) rounded; replaces the stale 4.3% input.                                                                              | <a href="#">FRED: 10Y Treasury (DGS10)</a>                               | Ctrl+F "2026-09-03" → observation 4.77. Model uses 4.8%. Also Ctrl+F "DGS10" for the series title.                                  |
| <b>Equity risk premium</b>                                          | 6.0% ERP is a conservative overlay vs Damodaran Jan-2026 implied 4.23%; used to keep CoE above the risk-free 4.8%.                                                     | <a href="#">Damodaran: Historical Implied ERP</a>                        | Ctrl+F "4.23%" on the 2025 row (last data row). Header is "Implied ERP (FCFE)". Model uses 6.0%.                                    |
| <b>Observed beta (5Y Monthly) — levered <math>\beta_L</math></b>    | Yahoo Beta (5Y Monthly) = 0.86. Levered equity $\beta_L$ from ~60 monthly returns vs S&P 500; not unlevered.                                                           | <a href="#">Yahoo Finance: LULU Beta (5Y Monthly)</a>                    | Ctrl+F "Beta (5Y Monthly)" → 0.86. Levered $\beta_L$ (Yahoo Key Statistics).                                                        |
| <b>Yahoo Total Debt (mrq)</b>                                       | Yahoo Total Debt (mrq) = \$2.14B on the same Key Statistics page as $\beta_L$ . Most recent quarter balance sheet.                                                     | <a href="#">Yahoo Finance: LULU Total Debt (mrq)</a>                     | Ctrl+F "Total Debt (mrq)" → 2.14B. Same page as beta.                                                                               |
| <b>Yahoo Market Cap</b>                                             | Yahoo Market Cap = \$11.14B on the same page as $\beta_L$ and Total Debt (mrq). Market value of equity.                                                                | <a href="#">Yahoo Finance: LULU Market Cap</a>                           | Ctrl+F "Market Cap" → 11.14B. Same page as beta and debt.                                                                           |
| <b>D/E for unlever (Yahoo debt ÷ mkt cap)</b>                       | Unlever D/E = Yahoo debt (mrq) ÷ Yahoo market cap ≈ 0.19. Market-value D/E from the beta source page (Hamada convention).                                              | <a href="#">Yahoo Finance: debt (mrq) ÷ market cap</a>                   | Formula: D/E = E[Yahoo debt mrq] ÷ E[Yahoo market cap]. 2.14B ÷ 11.14B ≈ 0.19.                                                      |
| <b>Yahoo book D/E (mrq) — reference</b>                             | Yahoo Total Debt/Equity (mrq) = 44.69% is book D/E on the same page; shown for reference, not used in Hamada.                                                          | <a href="#">Yahoo Finance: Total Debt/Equity (mrq)</a>                   | Ctrl+F "Total Debt/Equity (mrq)" → 44.69%. Book D/E; reference only, not in Hamada.                                                 |
| <b>Unlevered <math>\beta_u</math> (Hamada)</b>                      | $\beta_u = 0.86 \div [1 + 0.70 \times 0.19]$ . Strip Yahoo market D/E from $\beta_L \rightarrow \beta_u \approx 0.76$ . No vendor publishes D/E inside the regression. | WACC tab: Hamada unlever (Yahoo market D/E)                              | $\beta_u = E[\beta_L] \div (1 + 0.70 \times E[D/E \text{ Yahoo}])$ . 0.86 ÷ 1.134 ≈ 0.76. Regression does not publish embedded D/E. |
| <b>D/E for relever (WACC lease debt / E)</b>                        | Relever D/E = FY25 10-K lease debt ÷ our market cap ≈ 0.16; WACC capital structure we model.                                                                           | WACC tab: FY25 lease debt / market equity                                | D/E = E[FY25 lease debt] ÷ E[market cap]. 1,798,441 ÷ 11,138,000 ≈ 0.16 (10-K + model).                                             |
| <b>Sector <math>\beta_u</math> benchmark (Damodaran) — not used</b> | Benchmark only: Damodaran unlevered Retail (Special Lines) $\beta_u = 0.95$ . Not used; we derive $\beta_u$ from Yahoo $\beta_L$ .                                     | <a href="#">Damodaran: US betas by sector (Jan 2026)</a>                 | Ctrl+F "Retail (Special Lines)" → 0.95 $\beta_u$ . Sector benchmark; not used in WACC.                                              |
| <b>Beta used (relevered for lease debt)</b>                         | $\beta \text{ used} = \beta_u \times [1 + 0.70 \times \text{WACC D/E}] \approx 0.84$ . Relevered $\beta_L$ feeds CAPM: CoE = rf + $\beta \times \text{ERP}$ .          | WACC tab: Hamada relever (total D/E incl. leases)                        | $\beta \text{ used} = E[\beta_u] \times (1 + 0.70 \times E[D/E \text{ WACC}])$ . ≈ 0.84 → CoE row below.                            |
| <b>Pre-tax cost of debt (lease-equivalent)</b>                      | 5.0% pre-tax lease-equivalent borrowing cost; cheaper than equity. No funded revolver borrowings per FY25 10-K.                                                        | <a href="#">LULU FY2025 10-K: lease liabilities &amp; no funded debt</a> | Ctrl+F "Current lease liabilities" + "Non-current lease liabilities" → debt equiv. 5.0% illustrative lease borrowing cost.          |
| <b>Tax rate</b>                                                     | 30% cash tax matches FY2026 guidance ("approximately 30%"). Also sets (1-T) = 0.70 in the Hamada $\beta$ unlever/relever formulas.                                     | <a href="#">Q2 FY2026 outlook: tax rate ≈ 30%</a>                        | Ctrl+F "a tax rate of approximately 30%" on the FY2026 outlook paragraph.                                                           |
| <b>Share price (\$)</b>                                             | \$100 share price ≈ NASDAQ Last Sale after Q2 FY2026 guide cut; rounded from \$100.61 close.                                                                           | <a href="#">NASDAQ LULU last sale (current price)</a>                    | Ctrl+F "closed at \$100.61" → Last Sale \$100.61 (NASDAQ). Model uses \$100 rounded.                                                |
| <b>Market value of equity</b>                                       | Market equity = share price × shares outstanding. Capital-structure weighting numerator for relevered $\beta$ and WACC weights.                                        | WACC tab: price × shares                                                 | Share price row × shares outstanding row on this tab.                                                                               |
| <b>Shares outstanding (000)</b>                                     | 111,380k class A shares outstanding at FY25 year-end (10-K cover). Diluted WA 119,068 is for EPS, not market cap.                                                      | <a href="#">LULU FY2025 10-K: shares outstanding</a>                     | Ctrl+F "111,380 and 116,166 issued and outstanding" → 111,380k class A shares (FY25 10-K cover).                                    |
| <b>Operating lease liabilities (debt equiv.)</b>                    | ASC 842 operating lease liabilities = current + non-current (\$1,798,441k FY25). Treated as debt equivalent in WACC and EV bridge.                                     | <a href="#">LULU FY2025 10-K: operating lease liabilities</a>            | Ctrl+F "Current lease liabilities" → 298,724   "Non-current lease liabilities" → 1,499,717   sum = 1,798,441 (\$000)                |
| <b>Funded debt (term loans / bonds)</b>                             | Funded term debt \$0; 10-K: no borrowings outstanding on the revolver. Leases are the only debt equivalent here.                                                       | <a href="#">LULU FY2025 10-K (no funded debt)</a>                        | Ctrl+F "no borrowings were outstanding under this facility" → funded debt \$0                                                       |
| <b>Equity weight</b>                                                | Equity weight = market cap ÷ (market cap + lease debt). ~86% at \$100 and FY25 lease balance.                                                                          | WACC tab: capital structure                                              | Equity weight = market cap ÷ (market cap + lease debt). Live formula on this tab.                                                   |

| Assumption                    | Justification (~20 words)                                                                         | Source (click)                                                | Ctrl+F / proof                                                                      |
|-------------------------------|---------------------------------------------------------------------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Debt weight (leases + funded) | Debt weight = lease liabilities ÷ (market cap + lease debt). ~14%; ASC 842 leases, not bank debt. | <a href="#">LULU FY2025 10-K: operating lease liabilities</a> | Debt weight = lease liabilities ÷ (market cap + lease debt). ~14% at FY25 balances. |

## Scenarios

DCF workbook — Scenarios tab

| Assumption                              | Justification (~20 words)                                                                                                                        | Source (click)                                                   | Ctrl+F / proof                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>FY2026 revenue growth</b>            | –6.1% FY2026 revenue growth matches company guidance midpoint of –5% to –7% after Q2 FY2026 print.                                               | <a href="#">LULU Q2 FY2026 earnings release</a>                  | Ctrl+F "decline of 5% to 7%" → FY2026 revenue guide; model –6.1% midpoint                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>FY2027–30 revenue growth</b>         | 2.3% FY27–30 growth matches StockAnalysis Revenue Growth Forecast (3Y) of 2.26%; next-year consensus is +2.64%.                                  | <a href="#">StockAnalysis: LULU 3Y revenue forecast</a>          | Ctrl+F "Revenue Growth Forecast (3Y)" → 2.26%. That is the unique line (do not search "Net revenue"). Model FY27–30 uses 2.3%.                                                                                                                                                                                                                                                                                                                                |
| <b>FY2026 clean EBIT margin</b>         | 13.2% is the real/run-rate OM: Q2 18.8% minus 560bps of tariff refunds. FY26 then adds the \$134.5M refund once on top.                          | <a href="#">Q2 FY2026 release: 18.8% OM minus 560bps tariffs</a> | Ctrl+F "18.8%" (Q2 OM) and "560 basis points" (tariff boost). Real run-rate = 18.8% – 5.6% = 13.2%. Do not use "decreased 13%".                                                                                                                                                                                                                                                                                                                               |
| <b>FY2026 tariff refund (one-time)</b>  | Add back \$134.5M in FY26 only; already recognized (reduced COGS). +130bps on FY26 sales, not +560bps (that was Q2-only).                        | <a href="#">Q2 FY2026 release: \$134.5M IEEPA tariff refunds</a> | Ctrl+F "134.5 million" → IEEPA tariff refunds reduced COGS. Add this dollar amount to FY26 EBIT only. Full-year boost = 134.5 / FY26 sales ≈ 1.3ppt, not 5.6ppt.                                                                                                                                                                                                                                                                                              |
| <b>Terminal (FY2030E) EBIT margin</b>   | FY30 15.5% is a partial recovery vs the FY25 10-K OM of 19.9% (unique Ctrl+F). Still well below the FY24 23.7% peak.                             | <a href="#">FY2025 10-K: Operating margin 19.9% (one hit)</a>    | Ctrl+F "19.9%" (one hit) → Operating margin decreased 380 basis points to 19.9%. That is FY25 OM. Do not search the words Income from operations (17 hits). Model FY30 15.5% is a partial-recovery assumption.                                                                                                                                                                                                                                                |
| <b>WACC (base links to WACC tab)</b>    | Base WACC from WACC tab (lease-adjusted CAPM). Bear/bull bracket ±100bps around the calculated base.                                             | WACC tab: CAPM build                                             | WACC tab → green cell = $r_f$ 4.8% + levered $\beta \times$ ERP 6.0%                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Terminal growth (g)</b>              | 2.25% terminal g sits next to FRED GDPC1 Q2/Q2 real GDP ≈ 2.1% (24,269.613 / 23,770.976 – 1).                                                    | <a href="#">FRED: Real GDP (GDPC1)</a>                           | Ctrl+F "Q2 2026" → 24,269.613 and "Q2 2025" → 23,770.976. YoY = 2.1%. Model terminal g 2.25%.                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Tax rate</b>                         | 30% cash tax from FY2026 outlook; FY25 10-K effective is 29.5% (659,784 / 2,238,967).                                                            | <a href="#">Q2 FY2026 outlook: tax rate ≈ 30%</a>                | Ctrl+F "a tax rate of approximately 30%" on the earnings outlook. FY25 10-K: "Income tax expense" 659,784 ÷ "Income before income tax expense" 2,238,967 = 29.5%.                                                                                                                                                                                                                                                                                             |
| <b>D&amp;A (% of revenue)</b>           | 4.5% D&A / sales = FY25 496,228 / 11,102,600 on the 10-K cash-flow statement.                                                                    | <a href="#">LULU CF statement (10-K)</a>                         | Ctrl+F "Depreciation and amortization" → 496,228 on this 10-K HTML (not the SEC viewer). ÷ "Net revenue" 11,102,600 = 4.5%.                                                                                                                                                                                                                                                                                                                                   |
| <b>Capex (% of revenue)</b>             | FY26 7.0% is \$735M on \$10.4B sales, not FY25 \$11.1B. Since 7.0% steps toward FY25 6.1%, we assume a fade: DCF 5.5% = (7.0+6.0+5.5+5.0+4.0)/5. | <a href="#">LULU 10-K: 2026 capex guide \$725–745M</a>           | Ctrl+F "680,802" → FY25 capex \$680.8M. Ctrl+F "11,102,600" → FY25 sales \$11.1B. Ctrl+F "\$725.0 million and \$745.0 million" → FY26 capex mid \$735M.                                                                                                                                                                                                                                                                                                       |
| <b>FY2026 sales (capex denominator)</b> | FY26 sales are \$10.35–\$10.50B (earnings). Use that \$10.4B year as the 7% denominator, not FY25 \$11.1B.                                       | <a href="#">Q2 FY2026 outlook: \$10.350B–\$10.500B sales</a>     | Ctrl+F "\$10.350 billion to \$10.500 billion" → FY26 net revenue guide (one hit). Mid \$10.425B.                                                                                                                                                                                                                                                                                                                                                              |
| <b>Gross margin %</b>                   | 56.6% of revenue (gross margin). Isolates COGS for inventory/AP drivers; base case held near FY25 reported GM.                                   | <a href="#">LULU FY2025 10-K: Gross profit &amp; COGS</a>        | 56.6% of revenue (gross margin).<br>Ctrl+F "Gross profit" → 6,284,132 (\$000)<br>Ctrl+F "Net revenue" → 11,102,600 (\$000)<br>Ctrl+F "Cost of goods sold" → 4,818,468 (\$000)                                                                                                                                                                                                                                                                                 |
| <b>DSO (days) — flat vs FY25</b>        | Not % of revenue; DSO (days), flat ~6.3. Mostly own stores/DTC (cash at register); AR is small wholesale residual; predictable ~6 days FY22–25.  | <a href="#">LULU FY2025 10-K: Accounts receivable, net</a>       | Not % of revenue; DSO (days), flat ~6.3. Why flat: ~90%+ revenue is company-operated stores + e-commerce (cash/card at sale); AR is a small, stable wholesale/license residual; predictable collection, not trade credit.<br>Ctrl+F "Accounts receivable, net" → 190,657 (\$000)<br>Ctrl+F "Net revenue" → 11,102,600 (\$000)<br>DSO = (190,657 ÷ 11,102,600) × 365 ≈ 6.3 days (~6.0–6.3 FY22–25).<br>Ctrl+F "company-operated stores"<br>Ctrl+F "E-commerce" |
| <b>Accounts receivable (balance)</b>    | Implied ~1.7% of revenue (not a direct % plug). AR = (DSO÷365)×revenue; flat DSO because sales are mostly own-store/DTC, not credit wholesale.   | <a href="#">LULU FY2025 10-K: Accounts receivable, net</a>       | Implied ~1.7% of revenue (= 190,657 ÷ 11,102,600); not a direct % plug.<br>AR_t = (DSO ÷ 365) × Revenue_t. DSO flat because own-store/DTC dominates; AR scales predictably with sales.<br>Ctrl+F "Accounts receivable, net" → 190,657 (\$000)<br>Ctrl+F "Net revenue" → 11,102,600 (\$000)                                                                                                                                                                    |

| Assumption                                      | Justification (~20 words)                                                                                                                                                                                                                                                                                                                                               | Source (click)                                                     | Ctrl+F / proof                                                                                                                                                                                                                                                                                                                                                                          |
|-------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>FY25 DIO anchor (days)</b>                   | Not % of revenue; DIO (days).<br>FY25 anchor: $\text{DIO} = (\text{Inventories} \div \text{COGS}) \times 365$<br>= $(1,700,753 \div 4,818,468) \times 365 \approx 129$ days<br>(FY24 inv: 1,442,081).<br>Forecast path: $\text{DIO}_t = \text{FY25 DIO} - (1 \text{ day} \times \text{year } t)$ ; flat across scenarios.                                               | <a href="#">LULU FY2025 10-K: Inventories &amp; COGS</a>           | Not % of revenue; DIO (days).<br>FY25 anchor formula:<br>$\text{DIO} = (\text{Inventories} \div \text{COGS}) \times 365$<br>Ctrl+F "Inventories"<br>→ 1,700,753 (\$000)   FY24: 1,442,081<br>Ctrl+F "Cost of goods sold"<br>→ 4,818,468 (\$000)<br>= $(1,700,753 \div 4,818,468) \times 365 \approx 129$ days<br>Forecast: $\text{DIO}_t = \text{FY25 DIO} - (1 \times \text{year } t)$ |
| <b>DIO decline (days / forecast yr)</b>         | Not % of revenue; subtract 1 DIO day per forecast year (~5 days FY26–30).<br>Feeds $\text{Inventories}_t = (\text{DIO}_t \div 365) \times \text{COGS}_t$ .<br>Ctrl+F "reduce the percentage of markdowns"<br>Ctrl+F "On a unit basis, we expect inventories to slightly decrease"                                                                                       | <a href="#">LULU FY2025 10-K: inventory &amp; markdown outlook</a> | Not % of revenue; DIO –1 day/yr (~5 days FY26–30).<br>Feeds $\text{Inventories}_t = (\text{DIO}_t \div 365) \times \text{COGS}_t$ .<br>Ctrl+F "reduce the percentage of markdowns"<br>Ctrl+F "On a unit basis, we expect inventories to slightly decrease"                                                                                                                              |
| <b>Inventories (balance)</b>                    | Not % of revenue; \$ balance (not a direct % plug).<br>$\text{Inventories}_t = (\text{DIO}_t \div 365) \times \text{COGS}_t$<br>$\text{COGS}_t = \text{Revenue}_t \times (1 - \text{GM}\%)$ . FY25 check:<br>$(129 \div 365) \times 4,818,468 \approx 1,700,753$ .<br>Ctrl+F "Inventories"<br>→ 1,700,753 (\$000)<br>Ctrl+F "Cost of goods sold"<br>→ 4,818,468 (\$000) | <a href="#">LULU FY2025 10-K: Inventories</a>                      | Not % of revenue; $\text{Inventories}_t = (\text{DIO}_t \div 365) \times \text{COGS}_t$ .<br>$\text{COGS}_t = \text{Revenue}_t \times (1 - \text{GM}\%)$ .<br>Ctrl+F "Inventories"<br>→ 1,700,753 (\$000)<br>Ctrl+F "Cost of goods sold"<br>→ 4,818,468 (\$000)<br>FY25 proof: $(129 \div 365) \times 4,818,468 \approx 1,700,753$                                                      |
| <b>DPO (days) — flat vs FY25</b>                | Not % of revenue; DPO (days), flat ~25.1. Implied AP ≈3.0% of sales / 6.9% of COGS.                                                                                                                                                                                                                                                                                     | <a href="#">LULU FY2025 10-K: Accounts payable &amp; COGS</a>      | Ctrl+F "Accounts payable"<br>→ 331,421 (\$000)<br>Ctrl+F "Cost of goods sold"<br>→ 4,818,468 (\$000)<br>Not % of revenue; DPO ≈ 25.1 days. Implied AP ≈ 3.0% of sales / 6.9% of COGS.                                                                                                                                                                                                   |
| <b>Accounts payable (balance)</b>               | Implied ~3.0% of revenue (not a direct % plug).<br>Balance = $(\text{DPO} \div 365) \times \text{COGS}$ ; DPO flat at FY25.                                                                                                                                                                                                                                             | <a href="#">LULU FY2025 10-K: Accounts payable</a>                 | Ctrl+F "Accounts payable"<br>→ 331,421 (\$000)<br>Ctrl+F "Net revenue"<br>→ 11,102,600 (\$000)<br>Implied ~3.0% of revenue (= $331,421 \div 11,102,600$ ); forecast via $\text{DPO} \times \text{COGS}$ .                                                                                                                                                                               |
| <b>Prepaid expenses (% of revenue)</b>          | 5.1% of revenue (flat). FY25 other current assets (prepaids + tax receivables) ÷ net revenue.                                                                                                                                                                                                                                                                           | <a href="#">LULU FY2025 10-K: other current assets (residual)</a>  | Ctrl+F "Prepaid expenses and other current assets"<br>→ 211,620 (\$000)<br>Ctrl+F "Prepaid and receivable income taxes"<br>→ 352,469 (\$000)<br>5.1% of revenue (flat). OCA residual = $564,089 \div 11,102,600$ .                                                                                                                                                                      |
| <b>Accrued liabilities (% of revenue)</b>       | 6.0% of revenue (flat). FY25 accrued liabilities ÷ net revenue; comp/marketing accrual mix.                                                                                                                                                                                                                                                                             | <a href="#">LULU FY2025 10-K: Accrued liabilities and other</a>    | Ctrl+F "Accrued liabilities and other"<br>→ 662,982 (\$000)<br>Ctrl+F "Net revenue"<br>→ 11,102,600 (\$000)<br>6.0% of revenue (flat). $662,982 \div 11,102,600$ .                                                                                                                                                                                                                      |
| <b>Current operating assets (subtotal)</b>      | Not one %; sum ≈22.1% of FY25 sales (AR ~1.7% + inventory ~15.3% + prepaids 5.1%).                                                                                                                                                                                                                                                                                      | Scenarios tab: AR + inventory + prepaids                           | Not one % of revenue; sum of line items.<br>FY25: AR ~1.7% + inventory ~15.3% + prepaids 5.1% ≈ 22.1% of sales.                                                                                                                                                                                                                                                                         |
| <b>Current operating liabilities (subtotal)</b> | Not one %; sum ≈9.0% of FY25 sales (AP ~3.0% + accrued liabilities 6.0%).                                                                                                                                                                                                                                                                                               | Scenarios tab: AP + accrued liabilities                            | Not one % of revenue; sum of line items.<br>FY25: AP ~3.0% + accrued liabilities 6.0% ≈ 9.0% of sales.                                                                                                                                                                                                                                                                                  |
| <b>Net working capital (balance)</b>            | Not one %; net ≈13.2% of FY25 sales (\$1,461,096k). COA minus COL; rolls forward each year.                                                                                                                                                                                                                                                                             | <a href="#">LULU FY2025 10-K: working-capital components</a>       | Not one % of revenue; net balance.<br>FY25 NWC ≈ 13.2% of sales ( $\$1,461,096\text{k} = \text{COA} - \text{COL}$ ).                                                                                                                                                                                                                                                                    |
| <b>ΔNWC (prior yr – current yr)</b>             | Not % of revenue; \$ change in NWC year-over-year. Prior-year NWC minus current-year NWC for the FCF bridge.                                                                                                                                                                                                                                                            | Scenarios tab: NWC roll-forward (driver schedule)                  | Not % of revenue; \$ change year-over-year.<br>FY26: revenue –6.1% + DIO –1 day → NWC falls → ΔNWC positive (WC release).<br>FY27–30: revenue +2.3%/yr → AR & inventory rebuild → ΔNWC negative (WC build).                                                                                                                                                                             |

## Revenue Drivers

DCF workbook — Revenue Drivers tab

| Assumption                       | Justification (~20 words)                                                                                                     | Source (click)                                               | Ctrl+F / proof                                                                                                                                                                                                                      |
|----------------------------------|-------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Openings</b>                  | Store openings skew to China (+20 FY26) vs mature Americas (+8). Anchored to FY25 +44 net stores and 11% sq-ft growth.        | <a href="#">FY2025 10-K: store count &amp; expansion</a>     | Ctrl+F "Total company-operated stores" → 811 (FY25). FY25 added 44 net stores; model skews openings to China.                                                                                                                       |
| <b>Closures</b>                  | Closures assume 2–3 per mature region annually as leases roll; immaterial vs openings in expansion markets.                   | <a href="#">FY2025 10-K: lease renewal / fleet</a>           | Ctrl+F "lease" / store fleet; immaterial closures vs expansion; 2–3 per mature region.                                                                                                                                              |
| <b>Sqft Store</b>                | 4,367 avg sq ft/store = implied FY25 total sq ft / 811 stores. Modest expansion to 4,500 by FY30.                             | <a href="#">FY2025 10-K: sales per square foot</a>           | Ctrl+F "sales per square foot were \$1,426" → implied 3.54M sq ft / 811 stores ≈ 4,367 sq ft.                                                                                                                                       |
| <b>Spsf</b>                      | FY26 SPSF \$1,380 reflects Americas traffic/conversion pressure; recovers toward \$1,440 by FY30.                             | <a href="#">FY2025 10-K: comparable sales &amp; SPSF</a>     | Ctrl+F "sales per square foot were \$1,426" → FY25 reported \$1,426; FY26 model \$1,380 on traffic pressure.                                                                                                                        |
| <b>Comp Americas</b>             | FY25 Americas comp –3% per 10-K (traffic, conversion, AOV down). FY26 –4%: modest step-down before flat FY27 as promo clears. | <a href="#">FY2025 10-K: Americas comparable sales</a>       | Ctrl+F "Americas comparable sales decreased 3%" → FY25 anchor. FY26 model –4% before stabilization.                                                                                                                                 |
| <b>Comp China</b>                | FY25 China comp +20% (+19% CCY) per 10-K. FY26 +14%: still fastest region but moderating as the store base scales.            | <a href="#">FY2025 10-K: China Mainland comparable sales</a> | Ctrl+F "China Mainland comparable sales increased 20%" → FY25 anchor. FY26 model +14% on a larger base.                                                                                                                             |
| <b>Comp Row</b>                  | FY25 RoW comp +9% (+7% CCY) per 10-K. FY26 +7%: hold above CCY, fade to +4% by FY30 as APAC/Europe base matures.              | <a href="#">FY2025 10-K: Rest of World comparable sales</a>  | Ctrl+F "Rest of World comparable sales increased 9%" → FY25 +9% (+7% CCY). FY26 model +7%, fading to +4%.                                                                                                                           |
| <b>Comp Store Rev</b>            | Existing-store sales only; prior store rev grown by geo comp %. New doors are a separate line, not in here.                   | Revenue Drivers: comp-store formula                          | =prior store rev×(71%×(1+Am comp))+16%×(1+China)+13%×(1+RoW)). Existing base only; new stores are on the next row.                                                                                                                  |
| <b>New Store Rev</b>             | Net new doors × sq ft × \$/sq ft is plain dollars. /1000 → \$000 on this tab. ×0.55 'cause year-one stores don't run full.    | Revenue Drivers: net-new-store formula                       | =(open–close each geo)×sq ft×\$/sq ft → raw annual \$. /1000 flips that to \$000 (this whole tab is thousands). ×0.55 = year-one haircut; new boxes don't run at full SPSF yet. FY27 ex: (D7–D8+D11–D12+D15–D16)×D19×D24/1000×0.55. |
| <b>End Stores</b>                | Simple roll-forward: where you started, plus openings, minus closures. That's your ending store count for the year.           | Revenue Drivers: ending-stores formula                       | =beginning stores + openings – closures. Roll-forward; nothing fancy, just how many doors you end with.                                                                                                                             |
| <b>Beg Stores</b>                | Beginning stores = last year's ending count. Same number, just carried forward into the new fiscal year.                      | Revenue Drivers: beginning-stores formula                    | =prior-year ending stores. Same count, new column; that's where the year starts.                                                                                                                                                    |
| <b>Total Stores</b>              | Add up Americas + China + RoW ending stores. Should tie to the 10-K total company-operated count.                             | Revenue Drivers: total-stores formula                        | =Americas ending + China ending + RoW ending. Should foot to total company-operated stores.                                                                                                                                         |
| <b>Total Sqft</b>                | Ending stores times avg sq ft per box. Gives you total fleet square footage for the productivity math.                        | Revenue Drivers: total-sqft formula                          | =total ending stores × avg sq ft per store. Fleet size in square feet for the productivity lines.                                                                                                                                   |
| <b>Store Rev Base</b>            | Last year's total store-channel revenue; the base you're growing comps off of, not the new boxes.                             | Revenue Drivers: prior store-rev formula                     | =prior column's total store-channel revenue. Base you're applying comps to; not new-store contribution.                                                                                                                             |
| <b>Store Rev</b>                 | Brick-and-mortar channel = comp store sales plus whatever the net new stores contributed. That's the whole store line.        | Revenue Drivers: store-channel formula                       | =comparable store revenue + net new store revenue. Full brick-and-mortar channel for the year.                                                                                                                                      |
| <b>Ecomm Rev</b>                 | Traffic × conversion × AOV is dollars. ×1M 'cause sessions are in millions; /1000 puts it in \$000 like everything else.      | Revenue Drivers: e-comm formula                              | =sessions×1,000,000×conversion×AOV/1000 → e-comm \$000. ×1M 'cause sessions are millions; /1000 matches tab units.                                                                                                                  |
| <b>Other Rev Growth</b>          | Take last year's other-channel revenue and grow it by your assumed %. Wholesale/license/outlets; not stores or dot-com.       | Revenue Drivers: other-rev formula                           | =prior other-channel rev × (1 + growth %). Wholesale/license/outlets; grown off last year.                                                                                                                                          |
| <b>Geo revenue scale formula</b> | FY26 geo rev = FY25 geo rev × (FY26 total rev ÷ FY25 total rev). Total = store + e-comm + other.                              | Revenue Drivers: geo-scale formula                           | FY26 geo rev = FY25 geo rev × (FY26 total rev ÷ FY25 total rev). Total rev = store + e-comm + other.                                                                                                                                |
| <b>Total Rev</b>                 | Bottom-up total = store channel + e-comm + other. That's your driver-built revenue before you check Scenarios.                | Revenue Drivers: total-rev formula                           | =store channel + e-commerce + other. Bottom-up top line before you reconcile to Scenarios.                                                                                                                                          |
| <b>Scen Rev</b>                  | Pulls the Scenarios base-case revenue path; that's still the number the DCF actually uses, not the driver total.              | Scenarios tab: base revenue                                  | =Scenarios! base-case revenue. DCF still runs off this path; not the driver total.                                                                                                                                                  |
| <b>Variance</b>                  | Driver-built revenue minus Scenarios revenue. Shows you how far off the bottom-up path is from what you're valuing on.        | Revenue Drivers: variance formula                            | =bottom-up total – Scenarios revenue. Positive = drivers above Scenarios; negative = below.                                                                                                                                         |

| Assumption                  | Justification (~20 words)                                                                                         | Source (click)                                              | Ctrl+F / proof                                                                                      |
|-----------------------------|-------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| <b>Variance (%) formula</b> | Variance as a percent of Scenarios revenue. Easy read on whether the driver schedule is close or way out of line. | Revenue Drivers: variance % formula                         | =variance ÷ Scenarios revenue. Quick % read on how far the driver build is from the valuation path. |
| <b>Ecomm Sessions</b>       | 485M FY25 sessions implied from reported e-comm revenue / conv / AOV. FY26 –3% on Americas softness.              | <a href="#">FY2025 10-K: e-commerce revenue</a>             | Ctrl+F "E-commerce" → 4,918,697 (\$000). Sessions implied from revenue / conv / AOV.                |
| <b>Ecomm Conv</b>           | 3.3% FY26 digital conversion vs 3.5% pressure cited in 10-K Americas; gradual recovery to 3.6%.                   | <a href="#">FY2025 10-K: digital / traffic commentary</a>   | Ctrl+F "lower conversion rates" (Americas MD&A). FY26 model 3.3% digital conversion.                |
| <b>Ecomm Aov</b>            | AOV \$305 FY26 on promo intensity; steps to \$315 by FY30 as mix normalizes.                                      | <a href="#">FY2025 10-K: e-commerce revenue</a>             | Ctrl+F "average order value" (Americas MD&A). FY26 model \$305 AOV.                                 |
| <b>Other Rev</b>            | Other channels (wholesale/license/outlets) held at FY25 \$1.13B base; low-single-digit growth thereafter.         | <a href="#">FY2025 10-K: channel revenue table</a>          | Ctrl+F "Company-operated stores" and "E-commerce" → residual other channels = \$1.13B.              |
| <b>Geo Americas</b>         | Geographic split scales with consolidated growth; FY25 Americas 70.7% of revenue per 10-K segment table.          | <a href="#">FY2025 10-K: segmented net revenue</a>          | Ctrl+F "Americas" segment table → \$7,847,044 net revenue (70.7%).                                  |
| <b>Geo China</b>            | China 15.8% of FY25 revenue; fastest comp and store growth; expansion market in the driver schedule.              | <a href="#">FY2025 10-K: segmented net revenue</a>          | Ctrl+F "China Mainland" segment → \$1,754,799 net revenue (15.8%).                                  |
| <b>Geo Row</b>              | Rest of World 13.5% of FY25 revenue; mid-single-digit comps and steady openings.                                  | <a href="#">FY2025 10-K: segmented net revenue</a>          | Ctrl+F "Rest of World" segment → \$1,500,757 net revenue (13.5%).                                   |
| <b>Mix Women</b>            | Women's mix fades 62.5%→60% as men's penetrates; FY25 reported 63% women's per 10-K category disclosure.          | <a href="#">FY2025 10-K: product category mix</a>           | Ctrl+F "women's, men's, and accessories" → 63% / 24% / 13% of net revenue.                          |
| <b>Mix Men</b>              | Men's mix rises 24.5%→27%; FY25 men's grew 4% vs women's 5% per 10-K category commentary.                         | <a href="#">FY2025 10-K: product category mix</a>           | Ctrl+F "men's" category growth 4% in MD&A; mix rises to 27% by FY30.                                |
| <b>Mix Accessories</b>      | Accessories steady at 13% of revenue; FY25 accessories +8% per 10-K category disclosure.                          | <a href="#">FY2025 10-K: product category mix</a>           | Ctrl+F "accessories" +8% category growth; hold 13% mix.                                             |
| <b>Store Traffic</b>        | Fleet traffic memo line; not a separate FCF item. Calibrated to FY25 store productivity commentary.               | <a href="#">FY2025 10-K: store traffic commentary</a>       | Ctrl+F "store traffic" → lower traffic in Americas; memo line only.                                 |
| <b>Store Conv</b>           | In-store conversion memo; 10-K cites lower conversion in Americas; FY26 27% improving to 29%.                     | <a href="#">FY2025 10-K: conversion rate commentary</a>     | Ctrl+F "conversion rates" → lower in Americas; in-store memo 27%→29%.                               |
| <b>Store Aov</b>            | In-store average transaction \$115–\$122; supports SPSF and comp-sales bridge on the driver tab.                  | <a href="#">FY2025 10-K: average order value commentary</a> | Ctrl+F "average order value" → lower AOV in Americas; memo \$115–\$122.                             |



## NOPAT Bridge

DCF workbook — NOPAT Bridge tab (5-phase EBIT → NOPAT)

| Assumption                                           | Justification (~20 words)                                                                                                                                                                                                                                                                                                                        | Source (click)                                                                 | Ctrl+F / proof                                                                                                                                                                                                                                                                  |
|------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SBC add-back flag (0 = expense stays in EBIT)</b> | Not % of revenue; SBC add-back flag. Set to 0 (Convention A). SBC stays inside Scenarios EBIT/NOPAT as a real economic cost; DCF uses basic shares (111.4M). FY25 reference: \$62,203k (10-K). Flag = 1 would add back (Convention B + diluted shares); not used.                                                                                | <a href="#">LULU CF statement (10-K): stock-based compensation</a>             | Ctrl+F "Stock-based compensation expense" → 62,203 (\$000) FY25 reference. Flag = 0: SBC stays in EBIT (Convention A); DCF IV uses basic 111,380k shares.                                                                                                                       |
| <b>Store-channel EBIT margin %</b>                   | Not % of consolidated revenue; EBIT as % of store-channel revenue only (not the Scenarios 13.2%–15.5% consolidated margin). 18.6% margin assumption. $EBIT_{store} = Rev_{store} \times Margin_{store}$ FY25 check: $5,049,744 \times 18.6\% \approx 939,252$ (\$000). Calibrated so $\Sigma$ channel EBIT = consolidated EBIT 2,210,615 (10-K). | <a href="#">FY2025 10-K: company-operated stores net revenue</a>               | Not consolidated EBIT margin; $EBIT \div store\ revenue$ only (cf. Scenarios 13.2%–15.5%). Ctrl+F "Company-operated stores" → 5,049,744 (\$000) net revenue $\times 18.6\%$ margin assumption → store EBIT $\approx 939,252$ (\$000)                                            |
| <b>E-commerce EBIT margin %</b>                      | Not % of consolidated revenue; EBIT as % of e-commerce revenue only (not the Scenarios 13.2%–15.5% consolidated margin). 23.6% margin assumption. $EBIT_{e-comm} = Rev_{e-comm} \times Margin_{e-comm}$ FY25 check: $4,918,697 \times 23.6\% \approx 1,160,812$ (\$000). Higher than stores; no occupancy; fulfillment + digital marketing only. | <a href="#">FY2025 10-K: e-commerce net revenue</a>                            | Not consolidated EBIT margin; $EBIT \div e-commerce\ revenue$ only (cf. Scenarios 13.2%–15.5%). Ctrl+F "E-commerce" → 4,918,697 (\$000) net revenue $\times 23.6\%$ margin assumption → e-comm EBIT $\approx 1,160,812$ (\$000)                                                 |
| <b>Other-channels EBIT margin %</b>                  | Not % of consolidated revenue; EBIT as % of other-channel revenue only (not the Scenarios 13.2%–15.5% consolidated margin). 9.1% margin assumption. $EBIT_{other} = Rev_{other} \times Margin_{other}$ FY25 check: $1,134,159 \times 9.1\% \approx 103,209$ (\$000). Wholesale/license/outlets; lower-margin residual channel.                   | <a href="#">FY2025 10-K: other channels (residual)</a>                         | Not consolidated EBIT margin; $EBIT \div other-channel\ revenue$ only (cf. Scenarios 13.2%–15.5%). Ctrl+F "Net revenue" → 11,102,600 Minus stores + e-comm → other channels $\approx 1,134,159$ (\$000) $\times 9.1\%$ margin assumption → other EBIT $\approx 103,209$ (\$000) |
| <b>Terminal marginal tax rate</b>                    | 30% statutory marginal rate. $t_{operating}$ transitions here over the 5-year forecast.                                                                                                                                                                                                                                                          | <a href="#">Q2 FY2026 outlook: tax rate <math>\approx 30\%</math></a>          | Ctrl+F "a tax rate of approximately 30%" → terminal marginal rate for $t_{operating}$ glide path.                                                                                                                                                                               |
| <b>R&amp;D / software amortization (years)</b>       | Not % of revenue; amortization period (years) if R&D/software is capitalized. LULU: no separate R&D cap.                                                                                                                                                                                                                                         | NOPAT Bridge: capitalization convention                                        | Amortization period if R&D capitalized (3–5 yr convention). LULU: no separate R&D capitalization.                                                                                                                                                                               |
| <b>Reported / Scenarios EBIT</b>                     | FY25: reported operating income from 10-K. Forecast: Scenarios base-case EBIT (margin path).                                                                                                                                                                                                                                                     | <a href="#">LULU FY2025 10-K: Income from operations</a>                       | Ctrl+F "Income from operations" → 2,210,615 (\$000). Forecast links to Scenarios EBIT.                                                                                                                                                                                          |
| <b>Impairment / intangible amortization add-back</b> | Add back intangible amortization / impairments. FY25 = other operating expense amortization run-rate.                                                                                                                                                                                                                                            | <a href="#">LULU FY2025 10-K: amortization of intangible assets</a>            | Ctrl+F "Amortization of intangible assets" → other operating expense run-rate (add-back).                                                                                                                                                                                       |
| <b>Restructuring add-back</b>                        | Add back restructuring (severance, store closures). LULU FY25: none identified.                                                                                                                                                                                                                                                                  | <a href="#">LULU FY2025 10-K: restructuring charges</a>                        | Ctrl+F "restructuring" → none material in FY25 10-K.                                                                                                                                                                                                                            |
| <b>Legal / M&amp;A one-offs add-back</b>             | Strip one-off legal / M&A advisory fees. LULU FY25: none identified.                                                                                                                                                                                                                                                                             | <a href="#">LULU FY2025 10-K: SG&amp;A one-offs</a>                            | One-off legal/M&A fees in SG&A; none identified FY25.                                                                                                                                                                                                                           |
| <b>Adjusted EBIT (Phase 1)</b>                       | Phase 1 adjusted EBIT = reported + non-recurring add-backs. SBC add-back = 0 when flag = 0.                                                                                                                                                                                                                                                      | NOPAT Bridge tab: Phase 1 subtotal                                             | Sum of reported EBIT + Phase 1 add-backs on this tab.                                                                                                                                                                                                                           |
| <b>Implied lease interest reclass</b>                | Not % of revenue; implied lease interest (\$1,028k FY25). Reclass from rent to unlevered EBIT; scales with revenue in forecast.                                                                                                                                                                                                                  | <a href="#">LULU FY2025 10-K: interest on lease liabilities (supplemental)</a> | Ctrl+F "Interest paid on lease liabilities" → 1,028 (\$000) supplemental cash-flow disclosure. Reclass to unlevered EBIT.                                                                                                                                                       |
| <b>R&amp;D / software capitalization</b>             | Capitalize multi-year software/R&D. LULU: immaterial separate R&D line; held at \$0.                                                                                                                                                                                                                                                             | <a href="#">LULU FY2025 10-K: R&amp;D / software expense</a>                   | R&D / software capitalization; LULU immaterial; held at \$0.                                                                                                                                                                                                                    |
| <b>Amortization of capitalized intangibles</b>       | Amortization of prior capitalized intangibles. LULU: flows through existing D&A.                                                                                                                                                                                                                                                                 | <a href="#">LULU FY2025 10-K: intangible amortization</a>                      | Amortization of prior capitalized intangibles; netted in D&A line.                                                                                                                                                                                                              |
| <b>EBIT after lease &amp; cap (Phase 2)</b>          | Phase 2 EBIT = Phase 1 + lease interest reclass + R&D cap – amortization.                                                                                                                                                                                                                                                                        | NOPAT Bridge tab: Phase 2 subtotal                                             | Phase 1 + lease interest + R&D cap – amortization.                                                                                                                                                                                                                              |
| <b>Store-channel revenue</b>                         | Not % of revenue; store-channel revenue from Revenue Drivers tab.                                                                                                                                                                                                                                                                                | Revenue Drivers tab: store-channel revenue                                     | Revenue Drivers tab → store-channel revenue row.                                                                                                                                                                                                                                |
| <b>E-commerce revenue</b>                            | Not % of revenue; e-commerce revenue from Revenue Drivers tab.                                                                                                                                                                                                                                                                                   | Revenue Drivers tab: e-commerce revenue                                        | Revenue Drivers tab → e-commerce revenue row.                                                                                                                                                                                                                                   |
| <b>Other channels revenue</b>                        | Not % of revenue; wholesale/license/outlet revenue from Revenue Drivers tab.                                                                                                                                                                                                                                                                     | Revenue Drivers tab: other channels revenue                                    | Revenue Drivers tab → other channels revenue row.                                                                                                                                                                                                                               |

| Assumption                                        | Justification (~20 words)                                                                                                                                                                                                                                             | Source (click)                                                      | Ctrl+F / proof                                                                                                                                                                                                  |
|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Store-channel EBIT (= Rev × 18.6%)</b>         | Not % of consolidated revenue; store EBIT ÷ store revenue only (not Scenarios consolidated EBIT margin).<br>EBIT_store,t = Rev_store,t × 18.6%<br>FY25: 5,049,744 × 18.6% ≈ 939,252 (\$000).<br>Margin from driver assumptions row above; ties to 10-K store revenue. | <a href="#">FY2025 10-K: company-operated stores net revenue</a>    | Not consolidated EBIT margin; store EBIT ÷ store revenue only.<br>Ctrl+F "Company-operated stores"<br>→ 5,049,744 (\$000)<br>EBIT = Rev × 18.6% → ≈ 939,252 (\$000)                                             |
| <b>E-commerce EBIT (= Rev × 23.6%)</b>            | Not % of consolidated revenue; e-commerce EBIT ÷ e-commerce revenue only (not Scenarios consolidated EBIT margin).<br>EBIT_e-comm,t = Rev_e-comm,t × 23.6%<br>FY25: 4,918,697 × 23.6% ≈ 1,160,812 (\$000).<br>Higher than stores; no brick-and-mortar occupancy drag. | <a href="#">FY2025 10-K: e-commerce net revenue</a>                 | Not consolidated EBIT margin; e-commerce EBIT ÷ e-commerce revenue only.<br>Ctrl+F "E-commerce"<br>→ 4,918,697 (\$000)<br>EBIT = Rev × 23.6% → ≈ 1,160,812 (\$000)                                              |
| <b>Other-channels EBIT (= Rev × 9.1%)</b>         | Not % of consolidated revenue; other-channel EBIT ÷ other revenue only (not Scenarios consolidated EBIT margin).<br>EBIT_other,t = Rev_other,t × 9.1%<br>FY25: 1,134,159 × 9.1% ≈ 103,209 (\$000).<br>Wholesale/license/outlets; lowest channel margin.               | <a href="#">FY2025 10-K: other channels (residual)</a>              | Not consolidated EBIT margin; other-channel EBIT ÷ other revenue only.<br>Other rev = 11,102,600 – 5,049,744 – 4,918,697 ≈ 1,134,159 (\$000)<br>EBIT = Rev × 9.1% → ≈ 103,209 (\$000)                           |
| <b>Channel EBIT (sum of sector EBIT)</b>          | Phase 3 channel EBIT = Σ sector EBIT_i. FY26 adds Scenarios tariff refund.                                                                                                                                                                                            | NOPAT Bridge tab: sector EBIT subtotal                              | Sum of sector EBIT rows. FY26 adds Scenarios tariff refund cell.                                                                                                                                                |
| <b>EBIT after channel mix (Phase 3)</b>           | Channel-mix EBIT output (Phase 3). Check row vs Scenarios shows channel vs margin-path gap.                                                                                                                                                                           | NOPAT Bridge tab: Phase 3 subtotal                                  | Channel EBIT subtotal (Phase 3). Compare Check row vs Scenarios.                                                                                                                                                |
| <b>Normalized EBIT (tax base)</b>                 | FY25: Phases 1–2 walk-through (SBC not added back; flag = 0). Forecast: Scenarios base EBIT; tax base for NOPAT.                                                                                                                                                      | Scenarios tab: base-case EBIT (forecast)                            | FY25: Phase 1–2 formula. Forecast: Scenarios base EBIT (tax base).                                                                                                                                              |
| <b>Operating effective tax rate (t_operating)</b> | Operating effective tax rate: (tax + interest shield) ÷ (EBT + interest). Transitions from FY25 t_operating toward 30% marginal over 5 years.                                                                                                                         | <a href="#">LULU FY2025 10-K: income tax &amp; interest expense</a> | t_operating = (tax + interest×30%) ÷ (EBT + interest).<br>Ctrl+F "Income tax expense" → 659,784<br>Ctrl+F "Income before income tax expense" → 2,238,967<br>Ctrl+F "Interest paid on lease liabilities" → 1,028 |
| <b>Unlevered tax expense</b>                      | Unlevered tax = normalized EBIT × t_operating. Strips debt-interest tax shield from GAAP rate.                                                                                                                                                                        | NOPAT Bridge tab: unlevered tax expense                             | Normalized EBIT × t_operating; unlevered tax (no debt shield).                                                                                                                                                  |
| <b>Normalized NOPAT</b>                           | NORMALIZED NOPAT = EBIT_norm × (1 – t_operating). Scenarios base case links here.                                                                                                                                                                                     | NOPAT Bridge tab: normalized NOPAT                                  | EBIT_norm – unlevered tax. Scenarios base-case NOPAT links to this row.                                                                                                                                         |



## DCF

DCF workbook — DCF tab (valuation & sensitivity)

| Assumption                                      | Justification (~20 words)                                                                                                       | Source (click)                                                | Ctrl+F / proof                                                                                                                      |
|-------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| <b>Selected exit EV/EBITDA (Gordon implied)</b> | Selected exit is Gordon TV / FY30 EBITDA. Identity: $(UFCF/EBITDA) \times (1+g)/(WACC-g)$ . Not Deckers and not a peer average. | DCF: Gordon implied exit (TV / FY30 EBITDA)                   | No peer Ctrl+F. This cell = Gordon TV / FY30 EBITDA = $(UFCF/EBITDA) \times (1+g)/(WACC-g)$ . WACC and g are sourced on those rows. |
| <b>EV bridge: debt &amp; operating leases</b>   | Subtract ASC 842 operating lease liabilities as debt equivalent. Funded term debt \$0 per FY25 10-K; leases ≈ \$1.80B.          | <a href="#">LULU FY2025 10-K: operating lease liabilities</a> | —                                                                                                                                   |
| <b>Sensitivity grid axes</b>                    | Red WACC and g grid values bracket base case ±100bps discount rate and ±75bps terminal growth for sensitivity.                  | Scenarios: WACC & terminal g                                  | Scenarios tab → Ctrl+F "WACC" and "Terminal growth" rows (base-case inputs)                                                         |
| <b>Sensitivity — WACC axis</b>                  | WACC axis 9.5–11.5% brackets ~9.0% base from lease-adjusted CAPM on WACC tab; ±100bps sensitivity band.                         | <a href="#">Damodaran: Historical Implied ERP</a>             | WACC tab → green WACC cell ~9.0%. Sensitivity WACC axis brackets base ±100bps.                                                      |
| <b>Sensitivity — terminal g axis</b>            | Terminal-g axis 1.5–3.0% brackets 2.25% base; bounded by long-run real GDP and inflation benchmarks.                            | <a href="#">FRED: Real GDP (GDPC1)</a>                        | Ctrl+F "GDPC1" → bounds terminal-g sensitivity grid 1.5%–3.0%                                                                       |

## Comps

DCF workbook — Comps / Football Field tab

| Assumption        | Justification (~20 words)                                                                                          | Source (click)                                         | Ctrl+F / proof                                                                                                 |
|-------------------|--------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| <b>Nke</b>        | Nike EV/EBITDA is PitchBook daily EV / TTM EBITDA as of 04-Sep-2026. Black formula, not a typed print.             | PitchBook Comps Set 04-Sep-2026                        | No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.        |
| <b>Deck</b>       | Deckers EV/EBITDA is PitchBook daily EV / TTM EBITDA as of 04-Sep-2026. Closest premium-footwear peer.             | PitchBook Comps Set 04-Sep-2026                        | No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.        |
| <b>Ads</b>        | adidas EV/EBITDA is PitchBook daily EV / TTM EBITDA as of 04-Sep-2026. Global incumbent.                           | PitchBook Comps Set 04-Sep-2026                        | No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.        |
| <b>Pb</b>         | PitchBook Comps Set 04-Sep-2026. Multiple = daily EV / TTM EBITDA. UAA excluded from the mean (negative EBITDA).   | PitchBook Comps Set 04-Sep-2026                        | No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.        |
| <b>Onon</b>       | On Holding EV/EBITDA 14.0x equals StockAnalysis 14.03x, rounded; high-growth athletic peer.                        | <a href="#">StockAnalysis: ONON EV/EBITDA</a>          | Ctrl+F "EV / EBITDA" → 14.03. Model uses 14.0x.                                                                |
| <b>Vfc</b>        | VFC EV/EBITDA 10.7x equals StockAnalysis 10.71x; challenged multi-brand apparel peer.                              | <a href="#">StockAnalysis: VFC EV/EBITDA</a>           | Ctrl+F "EV / EBITDA" → 10.71. Model uses 10.7x.                                                                |
| <b>Alo Ask</b>    | Reuters: about \$10 billion Moelis ask for Color Image. 2026 follow-up: no deal announced. Ask, not a print.       | <a href="#">Reuters: Alo parent \$10bn Moelis ask</a>  | Ctrl+F "at about \$10 billion" and "hired investment bank Moelis". That is the 2023 ask, not a closed EV.      |
| <b>Alo Closed</b> | Reuters June 2026: no deal was announced on the 2023 process. The \$10bn is still an ask.                          | <a href="#">Reuters: Alo 2023 process; no deal</a>     | Ctrl+F "roughly \$10 billion" and "No deal was announced". Still an ask.                                       |
| <b>Alo Sales</b>  | Forbes estimates Color Image parent sales nearly \$2 billion. Mixed Alo + Bella+Canvas. Not Alo-only, not audited. | <a href="#">Forbes: Color Image nearly \$2bn sales</a> | Ctrl+F "nearly \$2 billion". Forbes estimate for Color Image parent (Alo + Bella+Canvas), not Alo-only EBITDA. |
| <b>Alo Impl</b>   | 5.0x = 10 / 2. Implied EV/Sales on an unclosed ask and parent sales. Not EV/EBITDA. Not the TV.                    | —                                                      | —                                                                                                              |
| <b>Ff Ev Lo</b>   | 5.0x on FY2030E EBITDA ≈ LULU current trough print. Floor of the range, not the selected exit.                     | <a href="#">StockAnalysis: LULU EV/EBITDA</a>          | Ctrl+F "EV / EBITDA" → LULU trough ~5x; football-field floor 5.0x                                              |
| <b>Ff Ev Hi</b>   | 8.0x = Deckers print as the high end of the range only. Selected exit is Gordon implied, not this cap.             | <a href="#">StockAnalysis: DECK EV/EBITDA</a>          | Ctrl+F "EV / EBITDA" → 7.95. Football-field cap 8.0x (Deckers). Not the selected exit.                         |
| <b>Ff Pe Lo</b>   | 10x P/E low on FY2026E EPS; trough earnings multiple after guidance reset and sentiment de-rating.                 | <a href="#">StockAnalysis: LULU Forward P/E</a>        | Ctrl+F "Forward PE" → LULU ~12.3x; low-case multiple assumption 10.0x                                          |
| <b>Ff Pe Hi</b>   | 18x P/E high on FY2026E EPS; modest recovery case still below historical premium LULU multiples.                   | <a href="#">StockAnalysis: NKE Forward P/E</a>         | Ctrl+F "Forward PE" → NKE peer benchmark; high-case assumption 18.0x                                           |

### 3-Statement

LULU\_3\_Statement\_Model — Assumptions tab

| Assumption        | Justification (~20 words)                                                                                                            | Source (click)                                                   | Ctrl+F / proof                                                                                                                                                                    |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Rev Growth</b> | FY26 –6.1% is guidance midpoint. FY27 +2.6% then +2.3% tracks StockAnalysis next-year +2.64% and 3Y forecast 2.26%.                  | <a href="#">StockAnalysis: LULU revenue forecast (FY27–30)</a>   | FY26: earnings release Ctrl+F "decline of 5% to 7%". FY27–30: this page Ctrl+F "Revenue Growth Forecast (3Y)" → 2.26%. Model 2.3%.                                                |
| <b>Gm</b>         | Clean GM 56.5%→58.0% (ex-refunds), still below peak ~58–59%. FY26 COGS is then reduced by the \$134.5M IEEPA refund.                 | <a href="#">LULU historical gross margin (10-K)</a>              | Ctrl+F "Gross profit" → 6,284,132 ÷ "Net revenue" 11,102,600 = 56.6% FY25 anchor                                                                                                  |
| <b>Tariff</b>     | Add back \$134.5M in FY26 only; already recognized (reduced COGS). +130bps on FY26 sales, not +560bps (that was Q2-only).            | <a href="#">Q2 FY2026 release: \$134.5M IEEPA tariff refunds</a> | Ctrl+F "134.5 million" → IEEPA tariff refunds reduced COGS. Add this dollar amount to FY26 EBIT only. Full-year boost = 134.5 / FY26 sales = 1.3ppt, not 5.6ppt.                  |
| <b>Sga Pct</b>    | FY26 SG&A 42.5% matches YTD 42.3% (earnings), vs FY25 36.7% 10-K; then fades to 39.5% as volume stabilizes.                          | <a href="#">LULU Q2 FY2026 earnings release (YTD SG&amp;A %)</a> | Ctrl+F "41.7%" (Q2 SG&A % of net revenue) and "42.3%" (first two quarters). FY25 10-K is 36.7%. Model FY26 42.5%                                                                  |
| <b>Other Opex</b> | \$7M annual amortization run-rate; stable intangible amortization per recent 10-K disclosure levels.                                 | <a href="#">LULU FY2025 10-K</a>                                 | Ctrl+F "Amortization of intangible assets" → 6,961 (\$000); model \$7,000/yr                                                                                                      |
| <b>Other Inc</b>  | FY26 \$45M other income annualizes YTD \$22,829; then steps down as cash is deployed (FY25 was only \$28,352).                       | <a href="#">Q2 FY2026 YTD other income (earnings)</a>            | Ctrl+F "22,829" → YTD other income (\$000) on the earnings P&L. FY26 model \$45,000 annualizes that run-rate.                                                                     |
| <b>Tax Rate</b>   | 30% effective tax rate on projections; conservative vs recent ~29% effective, allows for jurisdictional mix.                         | <a href="#">LULU Q2 FY2026 outlook (=30% tax)</a>                | Ctrl+F "a tax rate of approximately 30%" on the earnings outlook; FY25 10-K 29.5%. 3-statement model 30%                                                                          |
| <b>Da Pct</b>     | D&A 4.5–4.6% of revenue; tracks recent depreciation intensity on PPE and lease-related amortization.                                 | <a href="#">LULU CF statement (10-K)</a>                         | Ctrl+F "Depreciation and amortization" → 496,228 ÷ "Net revenue" 11,102,600 = 4.5%                                                                                                |
| <b>Capex Pct</b>  | FY26 7.0% is \$735M / \$10.4B, not / FY25 \$11.1B. Since 7.0% steps toward FY25 6.1%, we assume a fade: 7.0 / 6.0 / 5.5 / 5.0 / 5.0. | <a href="#">LULU CF statement (10-K)</a>                         | Ctrl+F "680,802" → FY25 capex \$680.8M. Ctrl+F "11,102,600" → FY25 sales \$11.1B. Ctrl+F "\$725.0 million and \$745.0 million" → FY26 capex mid \$735M.                           |
| <b>Sbc</b>        | \$62M SBC holds the FY25 10-K run-rate (Stock-based compensation expense 62,203).                                                    | <a href="#">LULU CF statement (10-K)</a>                         | Ctrl+F "Stock-based compensation expense" → 62,203 on this 10-K HTML. Model \$62,000.                                                                                             |
| <b>Inv Pct</b>    | Inventory 33–34% of COGS; slight normalization from FY25 build as Americas demand softens and clears.                                | <a href="#">LULU balance sheet (10-K)</a>                        | Ctrl+F "Inventories" → 1,700,753 ÷ "Cost of goods sold" 4,818,468 = 35.3%                                                                                                         |
| <b>Ap Pct</b>     | AP 6.8% of COGS; holds near FY25 level reflecting vendor terms and production payment cadence.                                       | <a href="#">LULU balance sheet (10-K)</a>                        | Ctrl+F "Accounts payable" → 331,421 ÷ "Cost of goods sold" 4,818,468 = 6.9%                                                                                                       |
| <b>Accr Pct</b>   | Accrued liabilities 5.8% of revenue; stable comp, marketing, and operating accrual ratio.                                            | <a href="#">LULU balance sheet (10-K)</a>                        | Ctrl+F "Accrued liabilities and other" → 662,982 ÷ "Net revenue" 11,102,600 = 6.0%                                                                                                |
| <b>Ar</b>         | AR 1.7% of sales = FY25 Accounts receivable, net 190,657 / 11,102,600. Wholesale and marketplace receivables; hold the FY25 mix.     | <a href="#">LULU FY2025 10-K: Accounts receivable, net</a>       | Ctrl+F "Accounts receivable, net" (one hit on the BS) → 190,657 (\$000). 190,657 / 11,102,600 = 1.7% of sales. Model holds 1.7%.                                                  |
| <b>Oca Pct</b>    | OCA 5.1% is current assets minus cash, AR, and inventory (prepaids / tax receivables). AR is its own line, not inside OCA.           | <a href="#">LULU balance sheet (10-K)</a>                        | OCA = "Total current assets" 4,262,701 – cash 1,807,202 – "Accounts receivable, net" 190,657 – "Inventories" 1,700,753 = 564,089 (5.1% of sales). AR is not inside this residual. |
| <b>Rou Pct</b>    | ROU assets 14.7% of revenue; lease-intensive store model, stable vs FY25 operating lease footprint.                                  | <a href="#">LULU lease disclosures (10-K)</a>                    | Ctrl+F "Right-of-use lease assets" → 1,630,181 ÷ "Net revenue" 11,102,600 = 14.7%                                                                                                 |
| <b>Onca Pct</b>   | ONCA 3.0% = FY25 total assets – CA – PPE – ROU – GW (338,947); matches earnings 'deferred taxes and other NC assets'.                | <a href="#">LULU balance sheet (10-K)</a>                        | Ctrl+F "Total assets" 8,456,743 – current assets – "Property and equipment, net" – "Right-of-use lease assets" – goodwill/intangibles = 338,947 (3.0%)                            |
| <b>Olc Pct</b>    | Current lease liabilities 2.7% of revenue; short-term portion of operating lease obligations.                                        | <a href="#">LULU lease disclosures (10-K)</a>                    | Ctrl+F "Current lease liabilities" → 298,724 ÷ "Net revenue" 11,102,600 = 2.7%                                                                                                    |
| <b>Olncl Pct</b>  | Non-current lease liabilities 13.5% of revenue; long-term store lease commitments per 10-K.                                          | <a href="#">LULU lease disclosures (10-K)</a>                    | Ctrl+F "Non-current lease liabilities" → 1,499,717 ÷ "Net revenue" 11,102,600 = 13.5%                                                                                             |
| <b>Ocl Pct</b>    | OCL 5.5% = FY25 current liabilities minus AP, accrued, and current leases (residual ~594k); not the 45,954 'other' line alone.       | <a href="#">LULU balance sheet (10-K)</a>                        | Ctrl+F "Total current liabilities" 1,887,548 – "Accounts payable" 331,421 – "Accrued liabilities and other" 662,982 – "Current lease liabilities" 298,724 ≈ 594,421 (5.4%)        |
| <b>Oncl Pct</b>   | Other non-current liabilities 0.5% of revenue; minor long-term accruals and provisions.                                              | <a href="#">LULU balance sheet (10-K)</a>                        | Ctrl+F "Other non-current liabilities" → 55,360 ÷ "Net revenue" 11,102,600 = 0.5%                                                                                                 |

| Assumption | Justification (~20 words)                                                                                                      | Source (click)                                        | Ctrl+F / proof                                                                            |
|------------|--------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------------------------------------------|
| Buyback    | \$750M annual repurchases; continued capital return at moderated pace vs FY24–25 peak buyback levels.                          | <a href="#">LULU CF: share repurchases (10-K)</a>     | Ctrl+F "Repurchase of common stock" → ( 1,178,349 ) (\$000) FY25; model (750,000)/yr      |
| Rep Price  | FY26 repurchase price \$100 matches the current quote; path \$100→\$130 is a recovery assumption (FY25 10-K paid \$168–\$199). | <a href="#">NASDAQ LULU last sale (current price)</a> | Ctrl+F "closed at \$100.61" → Last Sale (NASDAQ). Model repurchase price starts at \$100. |

## Primary source links

- [FY2025 Form 10-K](#)
- [Q2 FY2026 earnings release](#)
- [FRED DGS10 \(risk-free\)](#)
- [FRED GDPC1 \(GDP\)](#)
- [Damodaran ERP](#)
- [Damodaran betas](#)
- [Yahoo Finance LULU key statistics](#)
- [StockAnalysis LULU stats](#)
- [NASDAQ LULU quote](#)